

Why we need formal policies and procedures

A 501(c)(10) providing charitable financial assistance (like paying a non-member's bill), you should have both a formal request form and a clear verification process. This is not a strict "IRS-mandated checkbox" that will automatically revoke your exemption if missing, but it is strongly recommended best practice (and practically essential) to protect your organization's 501(c)(10) status. The IRS expects any organization to spend money on individual charitable aid to show that the assistance is:

- Based on objective need (not favoritism, personal connections, or arbitrary decisions)
- Part of a genuine charitable program serving a public benefit
- Properly documented for audits and Form 990 reporting

Without these, the aid can look like private benefit or inurement, which is a quick way to lose exempt status.

Why a Request Form Is Recommended

A simple written Benevolence / Hardship Assistance Application creates a consistent, defensible record. It should be filled out by (or on behalf of) the person requesting help. Typical information to collect on the form:

- Applicant's name, contact info, household size
- Description of the specific need (e.g., overdue utility bill, rent, medical expenses)
- Amount requested and copy of the actual bill
- Household income, expenses, and employment status
- Any other resources already used or available
- Statement that the applicant understands the aid is a one-time (or limited) charitable grant with no repayment expected
- Permission to verify information

Why a Verification Process Is Essential

Yes — you must have a reasonable process to confirm the need. The IRS wants proof that you are not just handing out money without checking facts.

Standard steps most groups use:

1. Require supporting documents (recent bill, proof of income like pay stubs or tax return, bank statements showing hardship, etc.).
2. Have a small benevolence or charity committee review every request against written, objective criteria (example: income below 250% of federal poverty guidelines + proof of temporary hardship).
3. Pay the bill directly to the creditor (never give cash or a check to the individual).
4. Document the decision: date, amount approved, reason, and any relationship (or lack of) between the recipient and your members/officers.
5. Keep records for at least 3–7 years (name, address, amount, purpose, selection method).

These practices are drawn from long-standing IRS expectations for any nonprofit making grants or assistance to individuals.

Good Practice vs. Risky Practice

Aspect	Good / Safe Practice	Risky Practice (Avoid)
Request	Written form submitted by applicant	Verbal request or “a member asked us to help”
Verification	Documents + committee review using objective rules	“We know they need it” with no proof
Decision-making	Board or designated committee approves	One officer decides alone
Payment	Direct to landlord/utility company	Cash or check to the person
Records	Full file kept for each case	Minimal or no documentation